

FEB MARCH 2021 V12

1-C:

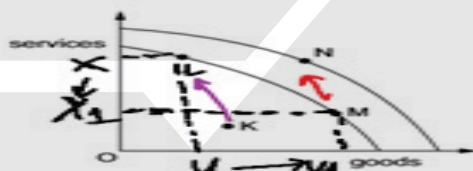
Opportunity cost is the “real cost” of choosing an option and not the other i.e. the “next best alternative forgone”

Barcelona is the first in the order of preference, and Paris is second in the order of preference i.e. it is the next best alternative

If the family chooses Barcelona, then Paris would be the next best alternative foregone, therefore making it the “opportunity cost”

2-B:

2 The diagram shows two production possibility curves for an economy.



Which combination of movements correctly illustrates these changes in production

	short-run economic growth	long-run economic growth	no economic growth
A	K to L	L to M	M to N
B	K to L ✓	M to N ✓	L to M ✓
C	M to N	K to L	L to M
D	M to N	L to M	K to L

- ✳ Short-run economic growth: K-L
(Actual moving closer to the potential)
- ✳ Long run economic growth: M-N
(Rightward shift in the PPC)
- ✳ Changes in output combinations: L-M
(No economic growth)

3-B:

A: This is not a distinguishing factor between the very long run and the long run. Both time frames allow for adjustments in resource allocation as businesses and industries respond to changing market conditions.

B: The key distinction between the long run and the very long run lies in the ability to change the state of technology. In the long run, firms can adjust their production methods, adopt new technologies, and make improvements to increase efficiency. **However, in the very long run, technology itself can change, allowing for new inventions, innovations, and advancements that may significantly alter the production possibilities and capabilities of an economy.** Therefore, the ability to change the state of technology is the defining characteristic that sets the very long run apart from the long run.

C) This is also not a distinguishing factor. Government intervention can occur in both the long run and the very long run

D) This is not a distinguishing factor either. The long run also involves the presence of variable factors of production, such as labor and capital, that can be adjusted to adapt to changing conditions.

4-A:

A) This statement presents a factual claim about the distribution of income and wealth in western European countries. This can be objectively analyzed, thus making it a “positive statement”

B) This statement expresses a normative judgment or subjective opinion about what the government should do. It suggests a desired policy action of increasing income tax on high earners, reflecting a value judgment.

C) There should be more legal rights given to workers to protect their status in the workplace: This statement also expresses a normative judgment or subjective opinion about what should be done

D) Wages of those on low incomes should be increased: Similar to options B and C, this statement expresses a normative judgment or subjective opinion. It suggests a desired policy action of increasing wages for individuals with low incomes, reflecting a subjective preference or value judgment.

5-D:

A - A change in advertising will either cause the demand curve to shift rightwards or leftwards, depending upon whether it is “effective” or “ineffective”

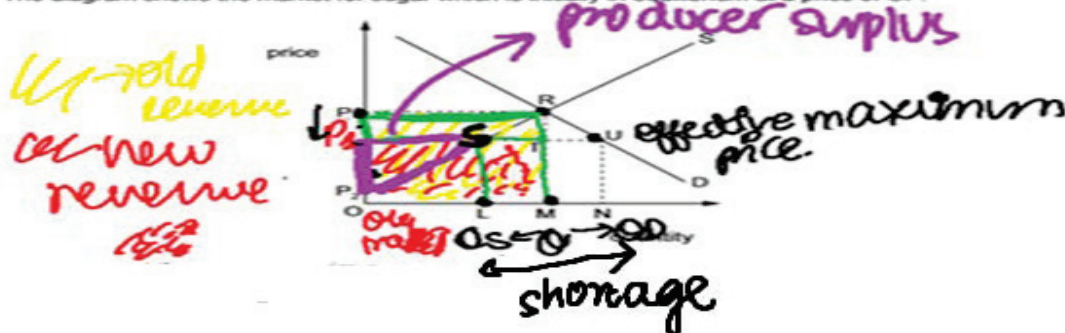
B - A change in “incomes” will either cause the demand curve to shift rightwards or leftwards, depending upon whether it is rising or falling

C - A change in tastes or fashions also contribute to shift in demand curves

D - Importantly , a change in the price of “z” does not cause a shift ; instead it causes a movement along the demand curve.

6-D:

The diagram shows the market for sugar which is initially in equilibrium at a price of OP.



A- Since the old revenue of the producer at the market equilibrium is "OPRM" and after the imposition of maximum price, after which when equilibrium qty contracts, the new revenue becomes OP1SL, it can be said that the reduction in farmers' revenue occurs by "P1PRML", thus making this incorrect.

B - This is incorrect as the total expenditure is equal to total revenue that is "OP1SL"

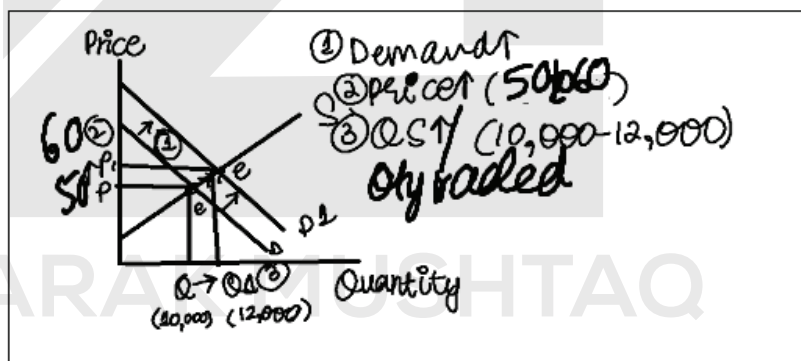
C- No, this is incorrect as the farmers revenue will be "OP1SL"

D - Producer surplus is the area below the price line of "P1" and above the supply curve, which in this case is "P1SP2"

This is why, key D , becomes correct.

7-B:

We require an option that results in an increase in demand, as a result of which there will be a shortage, which will cause the equilibrium price to rise from 50¢ to 60¢, thereby providing a signal to suppliers to extend quantity supplied from 10,000 to 12,000 units, this can be seen on the figure on the right.



A- An increase in price of complement reduces the demand for the good since there is a negative relationship between the price of one good and demand for another in case of complement.

B- An increase in the price of a substitute causes the demand for the good to increase since there is a positive relationship between the price of one good and the demand of another in case of substitutes. Since we are interested in an option that leads to an increase in demand, this option is correct.

C- The imposition of minimum price of 60cents will reduce quantity demanded i.e. the quantity traded

D- The imposition of an indirect tax reduces supply and although it causes an upward pressure on prices, there is a contraction in qty demanded (qty traded)

8-B: Consumer surplus is the difference between the price a consumer is willing to pay for a good or service and the actual price they pay. It represents the additional value or benefit that consumers receive from a transaction. When a consumer pays less than they are willing to pay, they experience consumer surplus because they receive a greater benefit or value than what they paid for. Therefore, option B is the correct choice as it represents a situation where consumers receive a good or service at a price lower than their maximum willingness to pay, resulting in consumer surplus.

A) When a consumer does not spend all of her income each month: This does not necessarily create consumer surplus. Consumer surplus specifically refers to the difference between the price paid and the maximum price a consumer is willing to pay for a good or service.

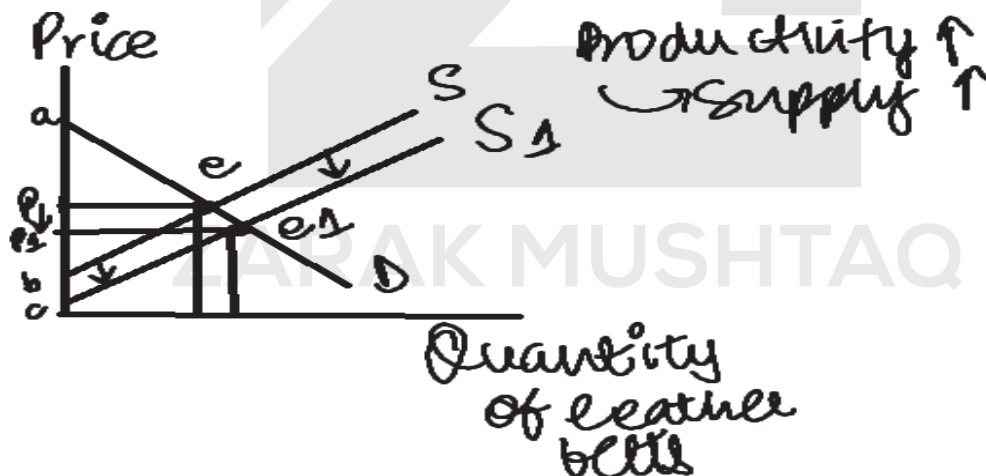
C) When a consumer throws away vegetables because they bought too much: This does not create consumer surplus. In fact, it can be considered wasteful behavior and a loss of utility rather than a surplus.

D) When a good is purchased in order to resell it at a higher price: This does not create consumer surplus. Consumer surplus specifically pertains to the benefit obtained by consumers when they pay less than their maximum willingness to pay.

9-C:

Supply of leather belts:

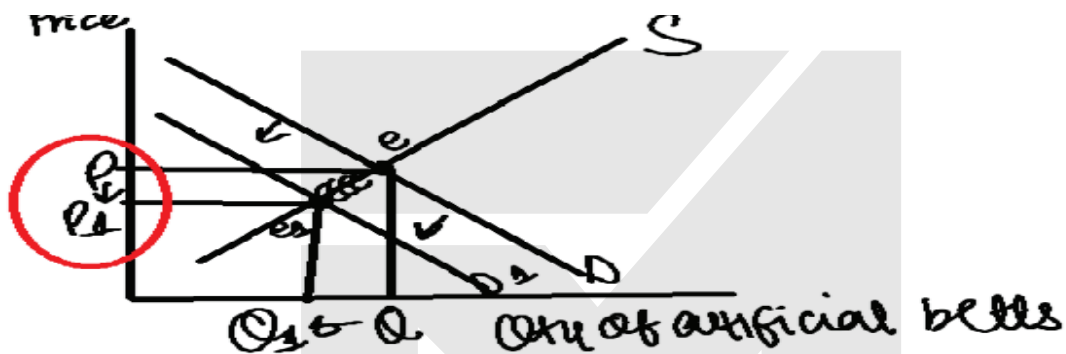
Increased efficiency in the manufacturing process is representative of a rise in productivity that is a measure of output per unit volume of input, which will reduce the costs of production of leather belts produced by the manufacturer. This will in turn result in a **rise in supply** and in turn a fall in prices of leather belts.



Price of artificial belts:

Since artificial belts are a substitute to leather belts, a fall in the price of leather belts will cause a fall in demand of artificial belts, as consumers would now switch to leather belts since they are relatively cheaper and available at competitive prices. This is because of a positive relationship between the price of one good and the demand for another in-case of substitutes.

As a result of a fall in demand of artificial belts, a resultant surplus in the market will cause a fall in the price of the artificial belts. This is shown in the figure below.



This is why option C is correct.

10-D:

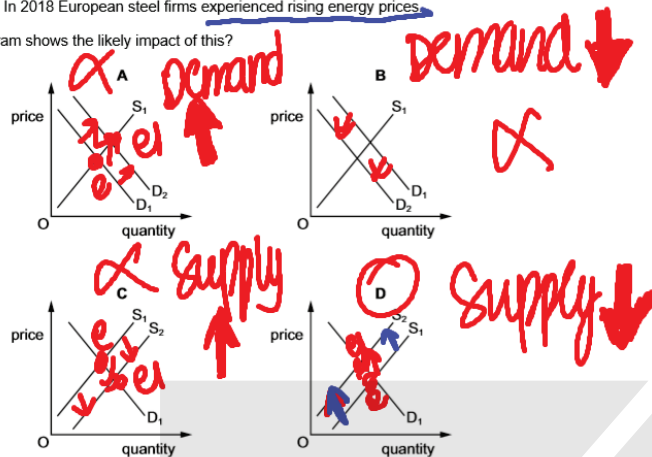
D – If a good is highly perishable, this means that there will be less stocks of finished goods that can be stored to release in a time when the demand is high, making supply “inelastic in response to changes in demand”

If a good has “low stocks”, this represents inelastic supply, as again less stocks of raw materials or finished goods would hinder the ability of producer to respond to changes in demand, making supply inelastic.

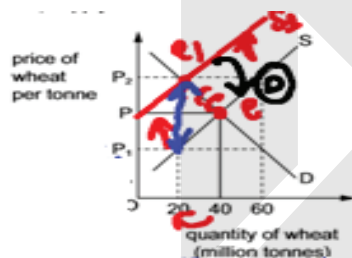
11-D

- 11 The diagrams show the initial demand curve D_1 and supply curve S_1 for steel in the European Union (EU). In 2018 European steel firms experienced rising energy prices.

Which diagram shows the likely impact of this?



Energy is a key input in the production process for steel, a rise in energy prices will increase the cost of production, which will result in a fall in supply of steel, shown through a leftward shift in the market for steel, this is shown in option D. No other option can be correct.



12-D:

Due to a drought, the supply has fallen, and the quantity supplied at the equilibrium price of P has contracted from 40 units to 20 units. This has resulted in a shortage or excess demand of 20 units. (This can be seen above)

We are interested in an option that helps to overcome the shortage, and because of which equilibrium price of P is maintained.

- A- If the government grants subsidies to farmers equivalent to PP_1 , the supply curve will shift rightwards, as a result of which the quantity supplied will extend to 40 units; however, this may cause prices to be lowered from P to P_1 , which should not occur as the equilibrium price of P must be maintained.
- B- Imposition of indirect tax will further cause a fall in supply, which will increase the existing shortages, in turn leading to rises in price, therefore making this option incorrect.
- C- Plantation of more wheat to increase supplies to 40 million tonnes cannot occur in the short-run as the output depends upon the harvesting period. This cannot be immediately achieved, and if shortages cannot be immediately overcome, the market prices may be forced to rise.

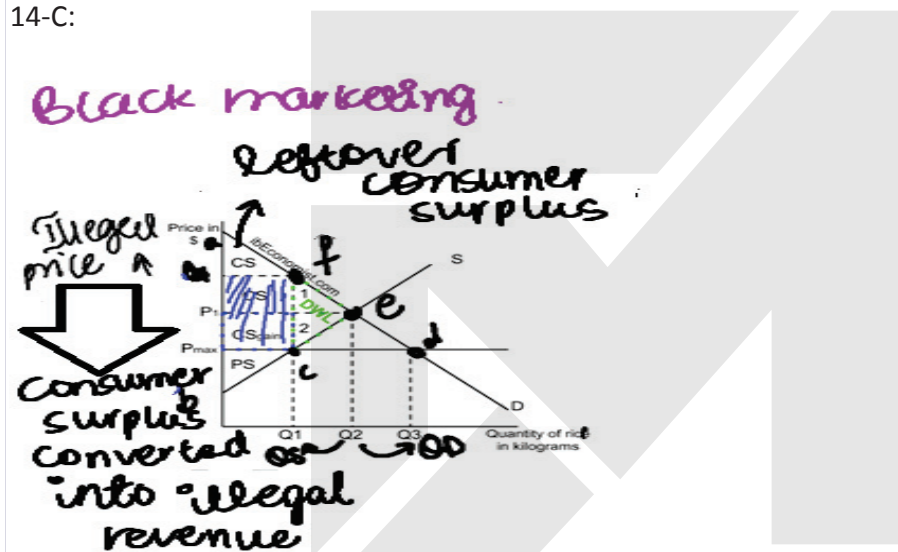
- D- If the government through its buffer stock scheme releases from its existing reserves, stocks of wheat supplies of 20 million tonnes in this period of scarcity, shortages may be overcome in the short-run, preventing any rises in price, leading to the equilibrium price of P to be maintained. This is why, option D, is correct.

13-D:

The formula for PED is

Percentage change in quantity demanded/percentage change in price

14-C:



A-The government's attempt of imposing an effective maximum price would not lead to rich and poor satisfying their demands equally as only a limited number of consumers can acquire it on a first come, first served basis.

B-Imposition of maximum price does not certainly lead to prevention of illegal buying and selling through a black market; however, it might increase the chances of black marketing.

C-Maximum price legislation leads to an extension in quantity demanded and a contraction in quantity supplied of cereals thereby resulting in shortages. Now, rationing that is the practice of controlling the distribution of good or service by allotting a certain amount of cereals per week to individuals would be necessary to cope up with scarcity, and since it is a mandate of government, it would lead to a fair distribution of cereals, this is why it is correct.

D-There would be a shortage instead of a surplus, thus making it incorrect.

15-C:

A transfer payment refers to a payment made by the government or an organization to individuals or households without the expectation of receiving a good or service in return. The purpose of transfer payments is to redistribute income or provide financial assistance to specific groups of individuals.

Therefore, option C is the correct choice as it represents a payment made to a retired person in the form of a pension, which is a typical example of a transfer payment.

A) The payment made by a company to its shareholders out of its profits: This is not a transfer payment. It is a distribution of profits to the shareholders of a company based on their ownership stake.

B) The payment made for a legal document to transfer ownership of a house: This is not a transfer payment either. It is a payment for a legal service associated with transferring the ownership of a house from one party to another.

D) The payment made to a professional sports team for the transfer of a player: This is not a transfer payment. It is a payment made in exchange for a specific service, namely the transfer of a player from one team to another.

16-C

The government has raised the top rate of tax, which means that it is correct to say that the “disposable incomes” or in simpler words, incomes of the “richer class” will decrease.

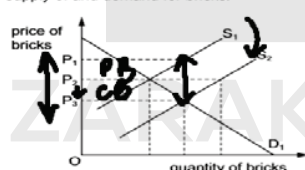
Therefore, if only the **demand for them** is income-inelastic, that is, (it is lesser than 1), even after a fall in incomes, consumption of normal goods would not contract by much, leading to spending staying at a high level only.

Likewise, redistribution of income towards the students and unemployed would lead to a rise in their income, which would in turn lead to a rise in spending on normal goods by a relatively higher percentage, when **the demand for them is income-elastic**. (YED greater than 1). This will lead to a rise in total spending of the economy

17-C:

- 17 A government wishes to increase the supply of houses. It pays a subsidy to brick manufacturers to increase supplies of bricks to S_2 .

The diagram shows the supply of and demand for bricks.



Which size of subsidy per unit is required to increase supply to S_2 ?

- A OP_3 B P_1P_2 C P_1P_3 D P_2P_3

new price

producer benefit

consumer benefit

per unit subsidy $\rightarrow$ vertical distance between the two supply curves?

18-B:

A) This option is incorrect. National defense is typically considered a public good, which means it is non-excludable and non-rivalrous. It is difficult to exclude individuals from benefiting from national defense

as **even the non-tax payers benefit from it**, and one person's **consumption of national defense does not diminish its availability to others**.

B) In a free market, national defense is non-excludable and non-rival in consumption: This option is correct. National defense is non-excludable because once it is provided, it benefits all individuals within the country, regardless of their contribution to its provision or their willingness to pay for it. It is also non-rivalrous because the consumption of national defense by one individual does not diminish its availability or benefits to others. **This makes it a classic example of a public good that is best provided by the government**

C) The government has perfect information, so it can set the correct quantity required: This option is incorrect. **Due to information failures, and information asymmetry**, it is challenging for government to have perfect information about the quantity of national defense required

D) The private sector firm would charge a high price for its use as it is a necessity: This option is incorrect. Due to the existence of free-rider problem, that is, when due to consumers being aware that they will enjoy the equal benefits associated with these goods without paying for them as those who pay for them, because of which they would not be willing to pay for them, it would be difficult for firms to charge prices for them, **in other words, there would be “no mechanism to charge prices”, thus making this incorrect**

19-A:

"It is likely to create economic winners and losers in the country," is correct because a rise in the general price level, known as inflation, affects different individuals and groups in various ways. Some people may benefit from inflation, such as those who own assets that appreciate in value, and those who borrow money, while others may experience a decrease in purchasing power and face challenges in maintaining their standard of living, for example: those on fixed incomes. Therefore, there are winners and losers in the economy due to inflation.

Statements B, C, and D are incorrect:

B: It is not accurate to claim that a rise in the general price level is never acceptable to modern governments. Inflation is a normal occurrence in economies, and governments often strive to manage it within a targeted range of 2 to 3%, termed as **creeping inflation**, which is “healthy for an economy” as it makes firms and individuals optimistic about future economic prospects. Some level of inflation can be considered healthy for economic growth and stability.

C: Inflation does not mean that no goods have fallen in price. While the generalized price level may increase, individual prices for specific goods and services can still fall. Inflation is a measure of the **overall increase in prices across a basket of goods and services, not an indication that no prices have decreased**.

D: It is not necessarily true that a rise in the general price level makes the average citizen poorer. It depends upon how fast nominal incomes rise in line with inflation.

20-A:

Terms of Trade is the ratio of export prices to import prices.

A: Terms of trade would worsen as a result of depreciation as since it leads to a fall in the prices of exported goods and a rise in the prices of imported goods, which will cause the terms of trade to decline, this is why, this becomes correct

B: A reduction in import tariffs would reduce the price of "imported goods" leading to improvement in the TOT.

C: A rise in the price of exported goods would again cause TOT to improve.

D: Additionally, changes in terms of trade are caused as a result of prices and not changes in Balance of trade or volumes of imports and exports.

21-A:



A- When due to a deficit, as a result of a rise in import-expenditures, there is an increase in the supply of currency, leading to depreciation of the exchange rate, and a movement of exchange rate, outside of the band, a government would have to intervene by selling its reserves, and purchasing its own currency i.e. artificially increasing the demand of the currency to maintain it within a set band.

B- It is wrong as the bank would need to hold more currency reserves.

C and D : The value of the currency is not determined by major partners nor value of the US dollar.

22-B:

Statement B, "The price of imported goods in the domestic currency will rise," is correct as the immediate effect of a devaluation of an economy's foreign exchange rate. Here's why the other statements are incorrect:

A: The price of imported goods in the domestic currency will not fall after a devaluation. When a currency is devalued, it means that its value relative to other currencies decreases. As a result, it takes more of the domestic currency to purchase the same amount of foreign currency needed to import goods. Therefore, the cost of imported goods increases in the domestic currency, causing prices to rise.

C: The price of imported goods in the foreign currency does not fall after a devaluation. A devaluation means that the domestic currency has weakened compared to other currencies. From the perspective of the foreign currency, the price of imported goods remains the same. **If the domestic currency has devalued, it will take more units of the domestic currency to purchase the same amount of foreign currency, maintaining the price of imported goods in the foreign currency.**

D: Similarly, to statement C, the price of imported goods in the foreign currency does not rise after a devaluation. The devaluation of the domestic currency does not affect the price of imported goods in the foreign currency. The price in the foreign currency remains the same, but it will require more units of the domestic currency to purchase that foreign currency.

23-D

A- A decrease in the rate of income tax increases the disposable income , leading to a rise in consumption expenditure, even on imported goods ,causing the deficit to be worsened.

B- A decrease in tariffs would lead to imported goods appearing relatively cheaper , leading to an extension in the volume of imports, further worsening the deficit.

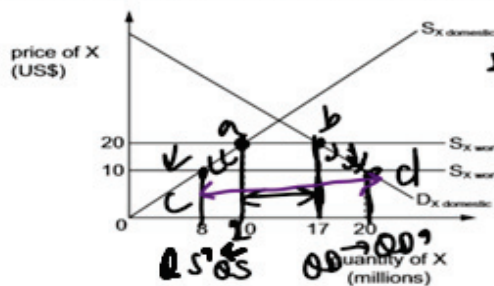
C- An increase in employment represents a rise in purchasing powers, and it therefore leads to an increase in the consumption of imports too.

D- Subsidy is a financial incentive: a cash or a grant payment, which when given to exporters would lead to an increase in domestic supply, and when this acts as an effective 'import substitution' , it leads to a contraction in the volume of imports

ZARAK MUSHTAQ

24-B:

24 The diagram shows the effect of removing a tariff on imports of good X into country Y.



What is the volume, in million units, of the extra international trade created by removing the tariff?

A 3

B 5

C 10

D 12

25-B:

A- Foreign aid comes under the section of secondary incomes of the 'current account', thus making this incorrect.

B- Investments made by middle eastern oil producing countries through purchase of land and property assets represents "direct investment" that typically includes long term investments in businesses, properties, and productive assets, and they contribute to the financial account of the Balance of payments.

C- Payments by the US to other countries which house its American military bases, represents imports in services, which will again come under the current account.

D- Profits and dividends paid by multinationals represents "primary incomes", which will again come under the current account.

26-C:

March - April

151.3
old

148.6
New

$$\Rightarrow \frac{148.6 - 151.3}{151.3} \times 100$$

$\Rightarrow -1.78\%$ prices are falling, which means there is deflation

A- There is a fall in the general price level representing deflation. A decrease in the annual rate of inflation represents 'disinflation' that is when prices are increasing but at a decreasing rate, thus making this incorrect.

B → In a period of deflation, there will be a rise in real interest rate.
This can be seen below:

$$\text{Real interest rate} = \text{Nominal Interest rate} - \text{rate of inflation}$$

$$\frac{7\%}{\text{The real interest rate increases.}} = \frac{2\%}{\text{rate}} - (-5\%) \Rightarrow \text{deflation represents negative inflation}$$

C → In a period of deflation, there is an increase in the purchasing power of money in real terms, as £1 can now purchase greater amount of goods than before, thus making this correct.

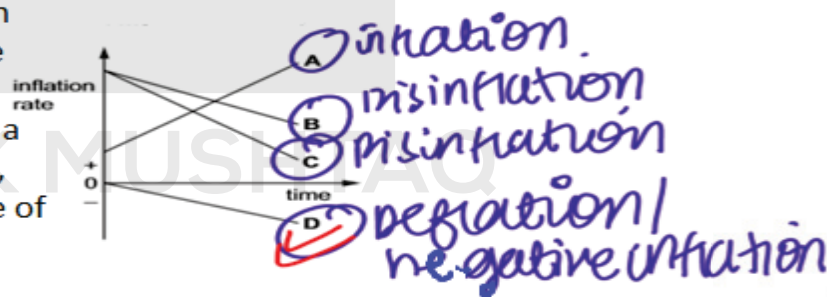
D → In case of a good deflation that occurs as a result of an increase in Aggregate supply, there is a rise in real incomes, representing an increase in income, output and employment, signifying an increase in the standard of living. However, in case of bad deflation, that occurs as a result of a fall in Aggregate demand, there is a "down-ward multiplier effect" representing a fall in incomes, output and employment, signifying a decrease in the standard of living. This is why, this option is incorrect.

27-D:

A- Inflation is a rise in prices at an increasing rate, which erodes the real value of money.

B and C - Disinflation represents a rise in prices at a decreasing rate, which again erodes the real value of money.

D- Deflation or negative inflation represents a fall in the general price level, leading to a rise in the real value or purchasing power of money, thus making this correct



28-C:

A falling CPI denotes deflation. We are interested in an option that leads to a reduction in deflation.

A-Appreciation refers to an increase in the value of a country's currency relative to other currencies. When a country's currency appreciates, it can lead to a decrease in aggregate demand through various channels:

Exports become more expensive: Appreciation makes a country's exports more expensive in foreign markets. When a country's currency strengthens, its goods and services become relatively more expensive for foreign buyers. As a result, the quantity of exports demanded tends to decrease by a relatively higher percentage, when the demand for them is elastic, leading to a fall in export revenues.

Imports become cheaper: Appreciation makes imports cheaper in the domestic market. When a country's currency strengthens, it enables domestic consumers and businesses to buy more imports at lower prices. As a result, there may be an extension in qty demanded for imports by a relatively higher percentage, when the demand for them is elastic, leading to a rise in import expenditures.

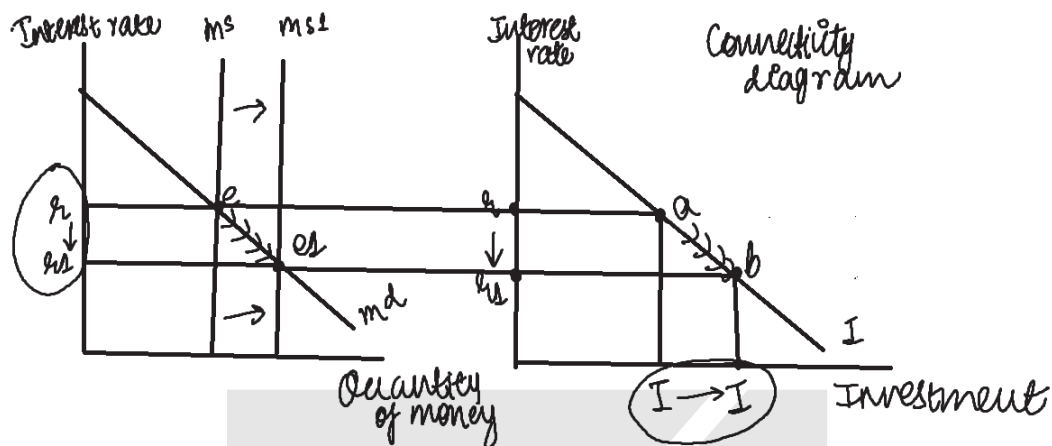
A fall in export revenues relative to import expenditures represent a BOT deficit, which would further reduce Aggregate demand.

B: Reduction in government spending: A decrease in the budget deficit often involves a reduction in government spending. When the government spends less, it directly affects aggregate demand as government expenditures are a component of aggregate demand. Therefore, a decrease in government spending decreases aggregate demand.

Potential decrease in disposable income: A decrease in the budget deficit may involve changes in taxation, such as increased tax rates. These changes can lead to a decrease in disposable income for individuals and businesses. When people have less disposable income, their ability to spend on goods and services is reduced, leading to a decline in aggregate demand.

C: An increase in money supply from ms to ms_1 (through buying back bonds) previously issued by the government, will increase the quantity of money in circulation from Q to Q_1 , which will lead to a surplus of money being available with the bank, as a result of which the interest rate may be lowered from ' r ' to ' r_1 ', in order to increase bank-lending. Because of a decrease in interest rates, the cost of borrowing may decrease, as a result of which firms may increase borrowing to finance capital expenditures and expansion, increasing investment expenditure on production from I to I_1 (as can be seen in the connectivity diagram in Fig 1), leading to an increase in Aggregate demand, because of injections in the

circular flow.



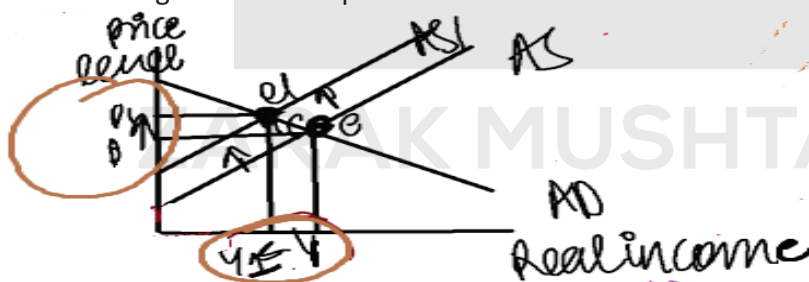
This is why, this option becomes correct .

D: Higher interest rates increase the cost of borrowing for businesses and individuals. When borrowing becomes more expensive, businesses may reduce their investment in new projects, such as expansion or capital expenditure. Similarly, individuals may delay or reduce their purchases of big-ticket items, such as homes or vehicles, due to higher borrowing costs. Reduced investment and consumption due to higher interest rates lead to a decrease in aggregate demand.

29-B:

A: A fall in labor productivity would increase costs and therefore, prices of exported goods would rise, making them globally uncompetitive, leading to a contraction in qty demanded of exported goods by a higher percentage, when the demand for them is elastic, leading to a fall in export revenues, which would have a worsening effect on the deficit

B, C and D: The diagram below explains this:



* A fall in labour productivity increases the costs of production, in turn leading to a fall in Aggregate supply ($AS \rightarrow AS1$), leading to shortages and subsequently a rise in the general price level, representing "cost-push inflation" (option D becomes incorrect)

* This leads to a fall in the internal value or real value of money as \$1 can be used to purchase less and less than before (option B becomes right)

* This in turn leads to a fall in real incomes, that is, incomes, output and employment (in other words, a rise in unemployment). Option C becomes incorrect (shown from Y to $Y1$)

30-A:

D the rate of domestic inflation

30 A government spends money building more schools

How might this be classified?

	fiscal policy	supply-side policy	monetary policy
A	✓	✓	x
B	✓	✓	✓
C	✓	x	x
D	x	✓	x

★ spending → fiscal policy

education and training →
"target: to increase AS"
"supply side policy"

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